

RSM219 – CLASS 4

Additional Notes for Lecture

KEY DEFINITIONS & FSET

ASSETS	=	LIABILITIES	+	EQUITY
FUTURE: inflow PRESENT: control PAST: transaction/event		FUTURE: outflow PRESENT: obligation PAST: transaction/event		Defined as residual: EQUITY = ASSETS – LIABILITIES Can be contributed or earned

Balance Sheet								Income Statement							
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income

Understanding Transactions

On January 1st, Sporty Inc received \$300,000 of workout gear it plans to sell at their store. Their supplier provided them with 30 days to pay.

Balance Sheet									Income Statement						
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income



Understanding Transaction

On January 1st, Sporty paid \$30,000 to install a new point of sale system in their downtown store. The system is expected to last for 4 years and have a residual value of \$2,000.

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital + Earned Capital	Revenues	-	Expenses	= Net Income

Understanding Transaction

On January 1st, Sporty took out a short-term loan from the bank to help finance the purchase of the point-of-sale system. The loan of \$30,000 is repayable at the end of 6 months and carried an interest rate of 6% per year. The loan principal is payable on the maturity date while the interest is payable at the end of the month. The point-of-sale system has been pledged as collateral for the loan.

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital + Earned Capital	Revenues	-	Expenses	= Net Income

Understanding Transactions

On January 2nd, Sporty Store received 200 bike helmets. Each bike helmet has a retail price of \$140. The helmets are provided on consignment. This means that the agreement between Sporty and the supplier is that Sporty will only pay the supplier if the helmets are sold. If the helmets are not sold, the supplier will take back the helmets at the end of the month. When a helmet is sold, Sporty will keep \$40 of the retail price and pay the \$100 to the supplier.

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital	+	Earned Capital	Revenues	- Expenses = Net Income

Understanding Transaction

On January 3rd, Sporty sold \$40,000 worth of workout gear for cash. The cost of the gear is 50% of the selling price.

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital + Earned Capital	Revenues	-	Expenses	= Net Income

Understanding Transactions

On January 5th, Clarks Consulting delivered the results of their market research regarding the potential expansion of Sporty in the province of Quebec. The report will help Sporty understand the competitive environment and customer demand for their stores and products in the province. Sporty had agreed to pay Clarks \$6,000 for the report and the agreement states that the payment is due 14 days after the delivery of the report.

Balance Sheet									Income Statement						
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income

Understanding Transactions

On January 10th, there was a leak in the warehouse and Sporty had to make an emergency call to their plumber to fix the leak to avoid damaging the inventory. The plumber charged Sporty \$1,200 for their work. Normally, this work would've costed \$800, but Sporty had to pay a premium to have the service performed right away. Sporty paid with cash.

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital + Earned Capital	Revenues	-	Expenses	= Net Income

Understanding Transactions

On January 19th, Sporty pays Clarks the amount owed for the market research report.

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital	+	Earned Capital	Revenues	- Expenses = Net Income

Understanding Transactions

On January 31st, Sporty declared and paid dividends in the amount of \$25,000. This represents a \$0.50 dividend per common share outstanding. Over the month of January, the share price decreased from \$4.80 on January 1st to \$4.70 on January 31st.

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital	+	Earned Capital	Revenues	- Expenses = Net Income

Accrual vs. Cash Accounting

Definition of Accrual: *the accumulation or increase of something over time.*

Accrual Accounting: Income and Expenses are recorded as they are earned / incurred.

- Income (Revenue / Sales) → Increase in assets or a decrease in liabilities
 - *Revenues are incurred when a resource is earned*
- Expenses → Decrease in assets or increase in liabilities
 - *Expenses are incurred when a resource is consumed.*

*Remember that contributions to/from holders of equity claims are not considered income or expenses.

Cash Accounting:

- Cash Inflows: Recognized when company receives cash
- Cash Outflows: Recognized when company pays cash

Adjusting Entries @ January 31st

Record the interest cost

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital + Earned Capital	Revenues	-	Expenses	= Net Income

Adjusting Entries @ January 31st

Depreciate the Point-of-Sale Asset for the month of January

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital	+	Earned Capital	Revenues	- Expenses = Net Income

TEAM MEETING

Connect with your team and exchange contact information